rebounds to H, where an upward breakout happens, and price works its way higher after that (for a time, anyway).

Volume, in this example, trends upward, which is unusual for a bullish Gartley despite what you may have heard on the cocktail circuit.

Appearance. The pattern looks like a big M or double top with the right peak (C) lower than the left (A), sometimes by a substantial amount. You might think of it as an ugly double top (see my website for details).

AB/AX retrace. Turn B is located by calculating the retrace of the move up from X. To do this, I use the low price at X (31.49), the high price at point A (37.06), and the high–low price range at the target, B (33.83 to 33.20). Plugging the numbers into the formula using the high price at B, we get (37.06 – 33.83)/(37.06 – 31.49) or .58. Using the low price at B, we get (37.06 – 33.20)/(37.06 – 31.49) or .69. The range of .58 to .69 encompasses the target .618, so point B qualifies as the first Fibonacci turn in the Gartley.

Table 38.1 Identification Guidelines

Characteristic	**Discussion**
Appearance	Looks like a big M with the turns located by Fibonacci ratios.
AB/AX retrace	The ratio of AB/AX is .618.
CB/AB retrace	The ratio of CB/AB is one of .382, .5, .618, .707, .786, or .886.
CD/CB extension	The extension of leg CD to CB is one of the Fibonacci numbers: 1.13, 1.27, 1.41, or 1.618.
AD/AX retrace	The ratio of AD to AX is .786.
Volume	Volume is downward the majority of the time, but this is an observation, not a requirement.
Duration	I limited patterns to 6 months, but this is an arbitrary limit I use for many chart patterns.